HOSPITALITY SERVICES FORECAST REPORT

A paradox in Bali's hotel market: Rising tourist arrivals, worsening congestion, and rapid villa expansion pressuring occupancy

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Insights & recommendations

Domestic tourists demand--particularly from the government segment--continued to decline in 2025, increasingly affecting hotel performance in the MICE (Meetings, Incentives, Conferences, and Exhibitions) segments. Government efficiency measures and tighter budgets have reduced the scale and frequency of official events, weakening a traditionally important source of hotel demand.

Conversely, international arrivals continued to grow. However, villas are becoming an increasingly popular accommodation choice among foreign visitors. The proliferation of villas—many of which are unregistered with industry associations and able to offer more competitive pricing--has altered guest preferences and placed additional pressure on hotel occupancy levels across Bali.

As Bali's guest profile become more diverse, hoteliers are encouraged to respond by offering bundled accommodation packages, strengthening partnerships with airlines, and developing integrated travel solutions. Such collaborations could provide mutually beneficial opportunities and help hotels remain competitive amid changing market dynamics.

		2025 vs 2024	2025 vs Avg. 2026-2028
Supply	Hotel supply continues to be dominated by the 5-star segment, with most upcoming projects concentrated in Ubud.	1,040 rooms	569 rooms
Occupancy	MICE activities are expected to resume, and the government is anticipated to strengthen enforcement against illegal accommodation in Bali. As a result, occupancy rates are projected to rebound and continue to improve through 2028.	-0.9% 71.9%	2.8% 73% - 78%
Room rate	Although growth is forecast to be gradual, ARR is expected to increase, supported by sustained foreign tourist arrivals with stronger purchasing power.	5.0% USD154.4	1.6% USD156 – USD161

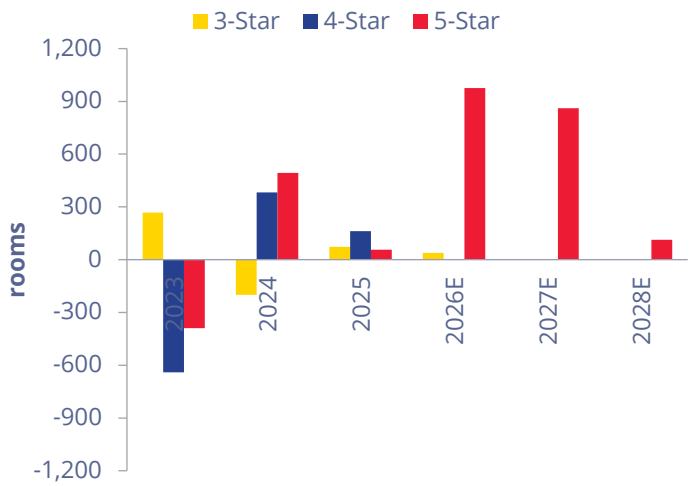
Source: Colliers. Note: IDR16,667 = 1 USD. 1 square m = 10.76 square ft.

Amidst new locations and concepts, Bali remains a stronghold for 5-star hotels

In 2025, Bali added 290 new hotel rooms, predominantly within the 4-star segment. Although this represented slower growth compared to 2024, the additional supply brought Bali's total hotel inventory to 59,740 rooms, reflecting a moderate YoY increase.

4-star hotels were the primary contributor to new supply during 2024-2025. However, the 5-star segment is expected to expand significantly during the 2026-2028 period. Upcoming luxury developments are largely concentrated in Payangan and Ubud. Situated at elevations of 300 and 800 meters above sea level and adjacent to the Kintamani area, Payangan offers cooler temperatures, natural surroundings, and tranquil environment—characteristics that are likely to appeal to high-end travelers seeking privacy and exclusivity.

Annual supply



Source: Colliers

Meanwhile, Ubud continues to strengthen its positioning as Bali's wellness hub, particularly for yoga and meditation tourism.

Two notable luxury projects are currently in the pipeline: Mandarin Oriental Bali, which will mark the brand's first presence on the island, and Waldorf Astoria Bali, which will be the brand's inaugural property in Indonesia. Both hotels are expected to commence operations around 2027.

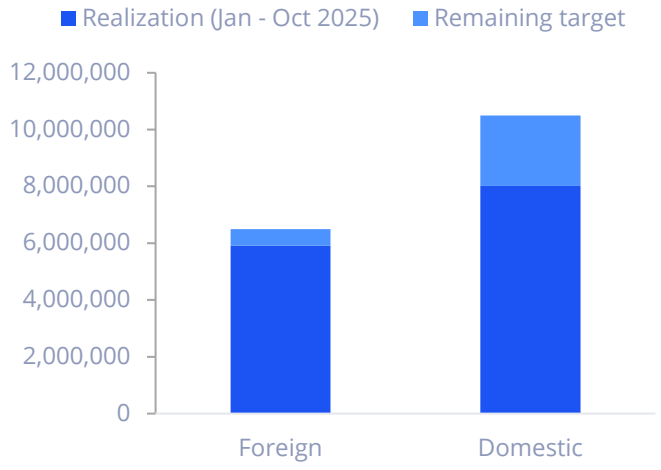
Accommodation options in Bali are increasingly diverse, with villas emerging as one of the most dominant alternatives to hotels. Although figures have not been validated, a report from the Indonesian Hotel and Restaurant Association (PHRI) indicates that the continued growth of villa development is increasingly exerting pressure on hotel performance across the island.

Tourism

Visitor numbers on track to reach target; wedding and medical tourism gain momentum

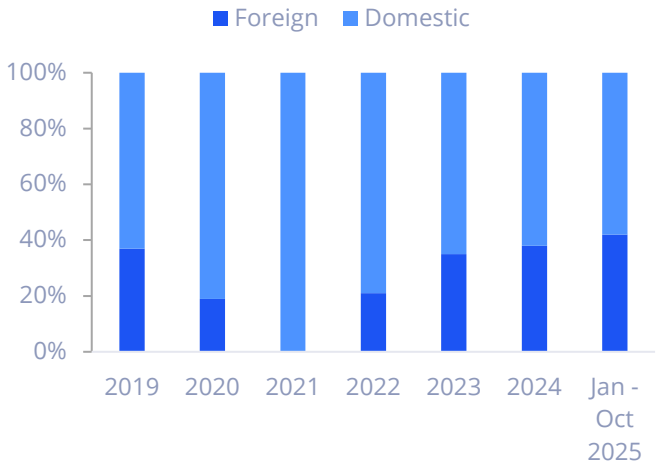
Between January and October 2025, international tourist arrivals to Bali reached nearly six million, placing the market on track to exceed the full-year target of 6.5 million visitors. During the same period, domestic tourist visits were recorded at around eight million—about 20% below the initial 2025 projection.

Arrivals: Projection vs Actual



Source: Bali Provincial Tourism Office

Visit distribution: Foreign vs Domestic



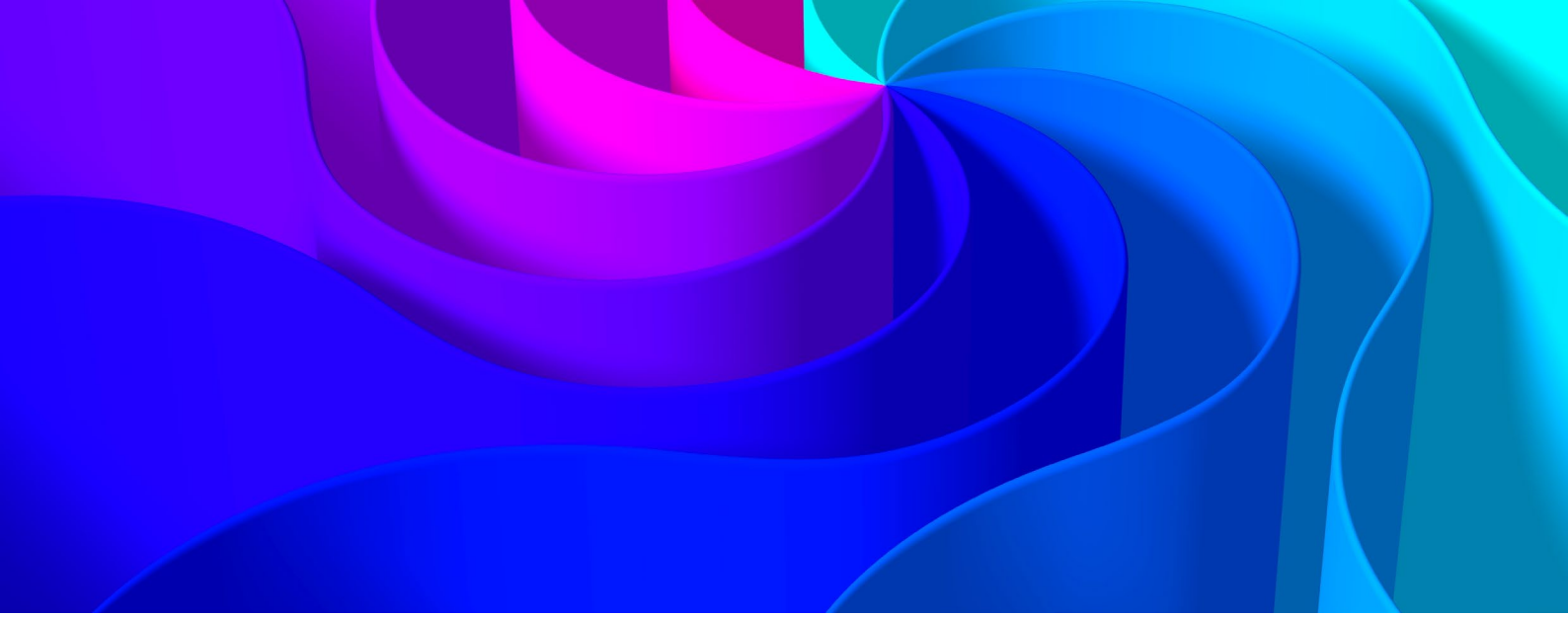
Source: Bali Provincial Tourism Office

While domestic tourists continue to represent the largest share of total visitors, international arrivals have grown at an average of approximately 30% per annum during 2022-2024. By 2025 year-to-date, foreign arrivals has already had already exceeded pre-pandemic levels. On the opposite side, rising accommodation costs are believed to be one of the factors encouraging domestic travellers to consider overseas destinations.

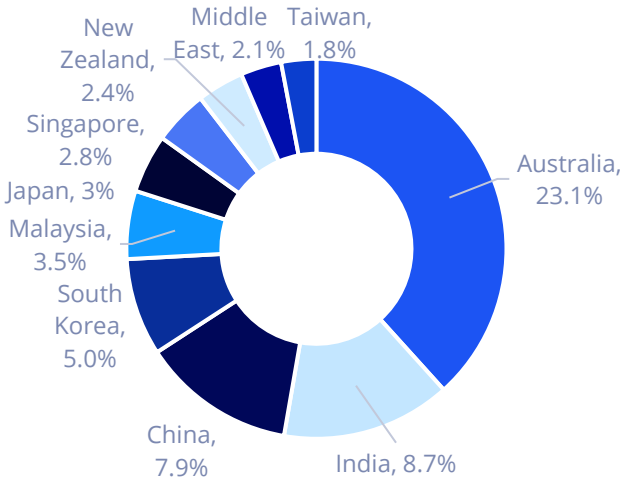
Government efficiency measures introduced in early 2025—particularly those affecting business travel and MICE activities—have continued to weigh on hotel performance, particularly in group and corporate segments.

By country of origin, international arrivals can be broadly categorised into Asian markets (including Asia-Pacific and the Middle East) and non-Asian markets, majorly Europe and the Americas. Between January and October 2025, Asian arrivals reached nearly four million, while non-Asian visitors totaled around two million.

Due to geographic proximity and extensive flight connectivity, the Asia-Pacific region remains Bali's largest international source market, with Australian tourists continuing to dominate. At the same time, arrivals from China, India, and South Korea have shown steady growth. From outside Asia, major contributors include Germany and Russia, as well as the United States and Canada.

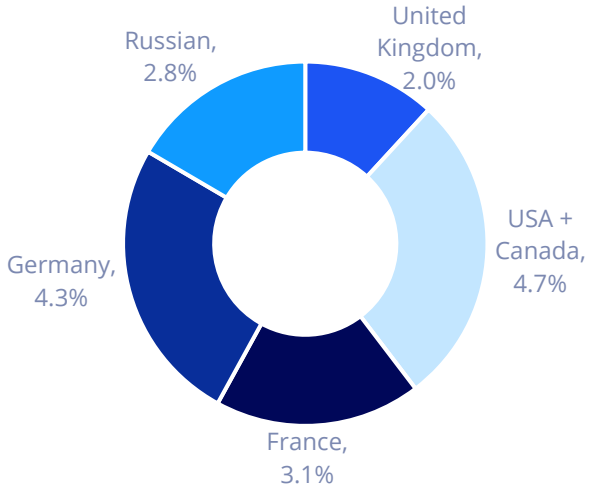


Top 10 Asia Pacific Countries & Middle East in 2025



Source: Bali Provincial Tourism Office

Top 5 Europe & America Countries in 2025



Source: Bali Provincial Tourism Office

Beyond leisure travel, Bali is increasingly recognised as a premier destination for weddings—particularly from India. Indian wedding are typically large-scale events, often lasting three to seven days and involving 300 to over 1,000 guests, offering significant revenue potential for hotel.

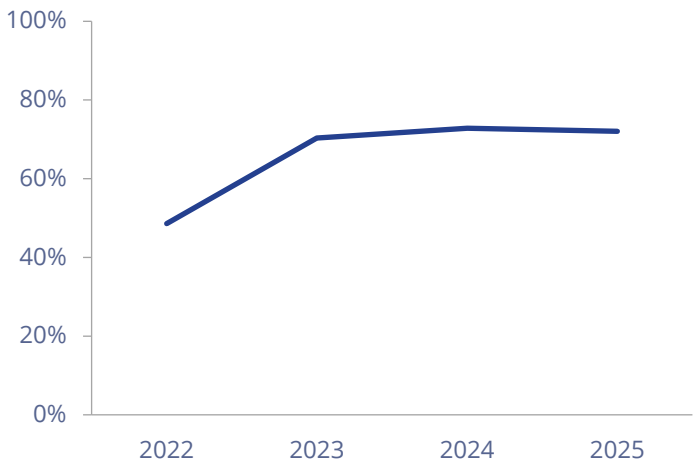
Wellness and sports tourism also present strong growth opportunities. Wellness packages—especially in Ubud and Uluwatu—continue to attract longer stays, often exceeding five days. The involvement of international brands and events organisers further broadens the market, drawing not only participants and organisers but also domestic and international spectators.

Performance

Stable occupancy, rising rates, and longer stays—yet mobility challenges persist

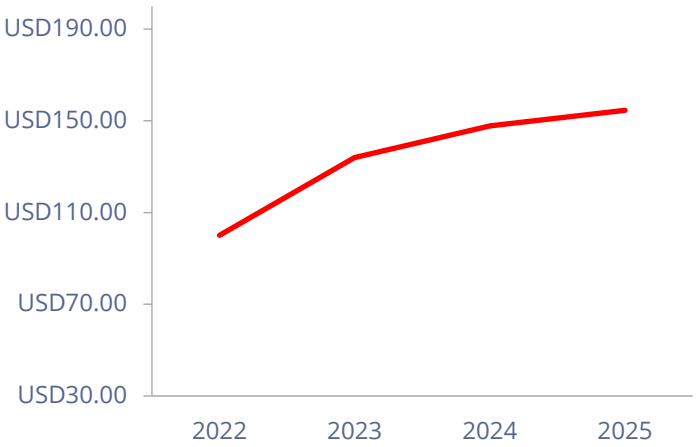
Despite rising visitor numbers, average hotel occupancy in Bali has remained relatively stable since 2023. However, this stability contrasts with room rates, which increased by approximately 10-15% per year during the 2023-2025 period, supported by stronger foreign purchasing power.

AOR (Average Occupancy Rate)



Source: STR

ADR (Average Daily Rate)

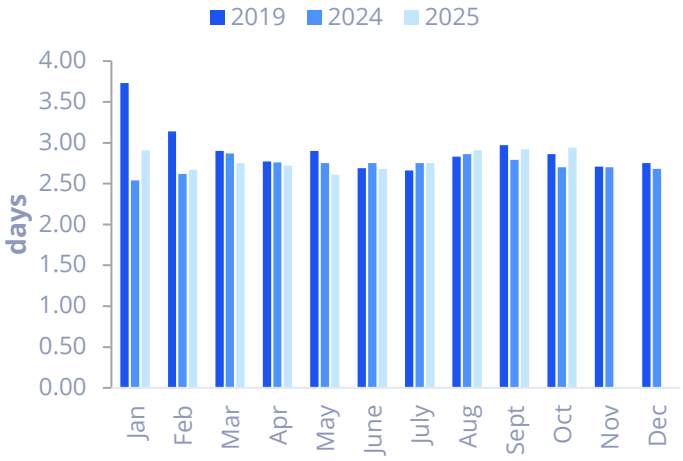


Source: STR

Average length of stay (LOS) showed a positive trend, increasing by around 1.7% YoY during January - October 2025. Foreign tourists generally recorded longer stays, encouraged by Bali's wide range of attractions, new entertainment venues, and diverse tour offerings.

Nevertheless, worsening traffic congestion has emerged as a key challenge. According to hotel operators. increased travel times between destinations have reduced tourist mobility. As a result, some visitors choose to split their holidays across multiple hotels, which can distort traditional length-of-stay patterns at individual properties

Length of Stay (LoS)



Source: Bali Provincial Tourism Office

An anomaly: high visitor numbers, yet occupancy growth remains elusive

One of the key concerns for hoteliers is the rapid growth of unregistered villas which are not affiliated with the Indonesian Hotel and Restaurant Association (PHRI). By avoiding certain taxes and regulatory requirements, these operators are able to offer lower prices while providing similar amenities than traditional hotels.

Under normal circumstances, rising tourist arrivals would be expecred to translate into higher hotel occupancy. However, the proliferation of unregulated villa has disrupted this relationship, eroding hotel market share, distorting pricing structures, and reducing regional tax revenues.

Meanwhile, the commencement of operations at Bali International Hospital (BIH) within the Sanur Special Economic Zone (SEZ) is reshaping Sanur's positioning as a tourism destination. In addition to its established reputation among senior travelers, Sanur is expected to evolve into a leading medical tourism hub.

The increase in medically motivated visitors is becoming increasingly visible. Hoteliers must also prepare for the development of a large convention center within the SEZ, with a capacity of around 5,000 participants. Given the limited hotel inventory within the SEZ--currently estimated at only 300-400 rooms—future MICE events are likely to spill over into surrounding hotel areas.

Hotel moratorium expected to reinforce Bali's position as a high-quality destination

Flooding incidents toward the end of 2025 prompted the Bali provincial government to intensify inspections of ongoing developments. As a result, the Governor of Bali imposed a moratorium on new building permits for hotels, restaurants, villas, and modern chain stores located on productive land and watershed areas, effective immediately.

Even prior to the floods, Bali faced mounting challenges related to traffic congestion and waste management. From a broader perspective, the moratorium should not be viewed solely as an environmental measure, but also strategic policy aimed at rebalancing spatial planning and strengthening Bali's long-term positioning as a premium destination.

By limiting new accommodation supply, the government can better manage growth which has previously exceeded the island's environmental carrying capacity--particularly in relation to water resources and waste infrastructure. Economically, tighter supply control is expected to support market balance and reduce, the risk of price wars that could undermine Bali's tourism brand.

With more stable and sustainable pricing, industry players will have greater capacity to enhance service quality and improve workforce welfare. Ultimately, the moratorium supports Bali's transition from volume-driven mass tourism toward a more sustainable, high quality tourism model—while safeguarding productive land, environmental integrity, and local cultural values.

Appendix

Newly opened in 2025

Hotel Name	Location	Region	#Rooms
3-star			
Holiday Inn Express Hotel Sunset Bali	Sunset Road	Kuta	72
4-star			
Voco Hotel Seminyak	Kerobokan Raya	Seminyak	162
5-star			
Sanggraloka Resort Ubud	Payangan	Ubud	69

Source: Colliers

Supply pipeline, 2026 - 2028

Hotel Name	Region	#Rooms	Expected Completion	Hotel Chain	Remarks
3-star					
Hotel Canggu Kho	Canggu	39	2026	N/A	–
5-star					
Alaya Suites Ubud	Ubud	70	2026	Alaya Hotel & Resorts	–
Sudamala Ubud	Ubud	46	2026	Sudamala Resorts	–

continued

Hotel Name	Region	#Rooms	Expected Completion	Hotel Chain	Remarks
					continuation
JW Marriott Ubud Hotel & Spa	Ubud	101	2026	Marriott International	–
Vasa Hotel Canggu	Canggu	200	2026	The Vasa Hotel Group	–
KARV Hotel Bali Jimbaran	Jimbaran	64	2026	N/A	–
Waldorf Astoria Bali	Nusa Dua	139	2027	Hilton Hotels & Resorts	The 1st Waldorf in Indonesia
Cross Celesta Nusa Penida	Nusa Penida	61	2027	Cross Hotels & Resorts	–
Vasa Hotel Ubud	Ubud	175	2027	The Vasa Hotel Group	–
The Apurva Kempinski Ubud	Ubud	160	2027	Kempinski Hotels	–
Mandarin Oriental	Uluwatu	110	2027	Mandarin Oriental Hotel Group	The 1st Mandarin Oriental in Bali
The Wlyder Canggu by Cross Collection	Canggu	112	2028	Cross Hotels & Resorts	–

Source: Colliers

Hotel Bali distribution

Others

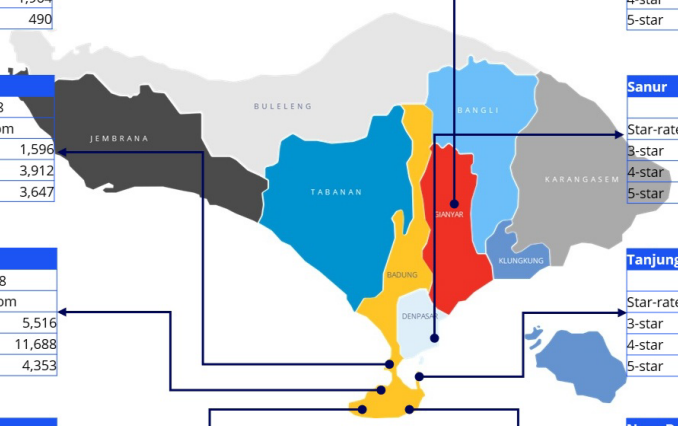
	As of 2025		As of 2028	
Star-rated	#project	#room	#project	#room
3-star	15	815	15	815
4-star	30	1,964	30	1,964
5-star	5	213	7	490

Ubud

	As of 2025		As of 2028	
Star-rated	#project	#room	#project	#room
3-star	17	651	17	651
4-star	23	1,047	23	1,047
5-star	52	2,690	57	3,242

Seminyak

	As of 2025		As of 2028	
Star-rated	#project	#room	#project	#room
3-star	20	1,557	21	1,596
4-star	46	3,912	46	3,912
5-star	33	3,335	35	3,647



Sanur

	As of 2025		As of 2028	
Star-rated	#project	#room	#project	#room
3-star	17	905	17	905
4-star	17	1,725	17	1,725
5-star	10	1,885	10	1,885

Kuta

	As of 2025		As of 2028	
Star-rated	#project	#room	#project	#room
3-star	68	5,516	68	5,516
4-star	74	11,688	74	11,688
5-star	15	4,353	15	4,353

Tanjung Benoa

	As of 2025		As of 2028	
Star-rated	#project	#room	#project	#room
3-star	2	170	2	170
4-star	7	846	7	846
5-star	6	1,330	6	1,330

Jimbaran-Uluwatu

	As of 2025		As of 2028	
Star-rated	#project	#room	#project	#room
3-star	18	899	18	899
4-star	19	2,472	19	2,472
5-star	26	3,630	28	3,804

Nusa Dua

	As of 2025		As of 2028	
Star-rated	#project	#room	#project	#room
3-star	3	198	3	198
4-star	12	1,240	12	1,240
5-star	25	6,427	27	7,060

Source: Colliers

Colliers

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